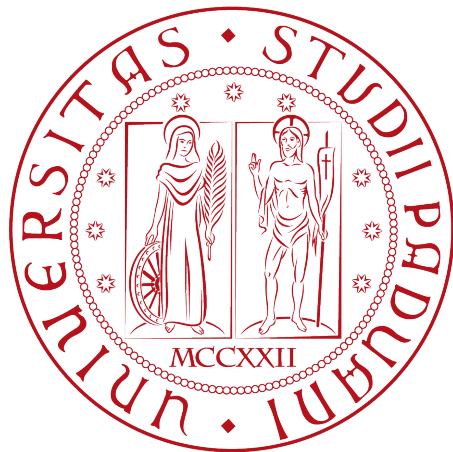


# University of Padua

DEPARTMENT OF MATHEMATICS “TULLIO LEVI-CIVITA”

IT SERVICE MANAGEMENT



## Titolo della tesi

*Project of IT Service Management course*

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# Abstract

The recent international expansion of the Bank through the acquisition of other financial entities represents an important opportunity to increase the value of the services provided and achieve several business objectives. However, this expansion also introduces new challenges related to service integration, operational efficiency, regulatory compliance, and the consistent delivery of high-quality IT services across different countries and business units.

By analyzing the IT Service Management (ITSM) environment of the Bank presented in the case study, this project supports the strategic transformation of IT Department into a “Shared Service Center” thus to operate uniformly, while providing high-quality services across different countries and business units.

Moreover, to achieve business objectives, this document analyzes the individuated Critical Success Factors (CSFs): Customer Partnership, Process Factory, Continuous Improvement. Moreover through this document defines different Key Performance Indicators (KPIs), providing a framework template with their respective metric and process involved for the areas identified.



# Chapter 1

## Introduction





## Chapter 2

# Organisational Vision and Goals

### 2.1 Vision

The Banks's organisational vision is focused on business expansion, digital transformation, and international growth. To achieve this vision, the executive board established several objectives, including increasing the domestic retail banking market share from 7% to 10%, increasing internet banking revenue by 70%, increasing revenue generated from customers outside the headquarters country by 50%, and achieving a 5% increase in corporate profit.

The business vision is based on the integration of newly acquired banks, the expansion of strategic partnerships, and the automation and standardisation of business and IT operations. Consequently, Information Technology becomes a strategic enabler rather than a support function. To support the organisational vision, the IT department aims to operate as a Shared Service Center capable of delivering high-performance, high-quality, and cost-effective services. This transformation requires the adoption of a **Performance-Based Management** approach, where service performance is continuously measured, monitored, and improved through data-driven decision making. The strategic direction of the IT department is therefore built around three Critical Success Factors: Customer Partnership, Process Factory, and Continuous Improvement.

### 2.2 Goals

The acquisition of foreign banks represents a significant opportunity for the Bank to expand its operations, improve the services provided, and create a more efficient internal organizational structure. This strategic transformation is driven by the objective of increasing value for both the organization and its customers by offering innovative, reliable, and internationally integrated banking services (*focus on value*).

The IT Department plays a strategic role, by ensuring that business services remains reliable, secure and efficient during this transformation. Thus to accomplish Bank's vision and reach business objectives, the IT Department has adopted the structure of a "Shared Service Center"; becoming a strategic role, providing not only technical support functions but also delivering standardized, high-quality and cost-effective services across all business divisions. This centralized approach enables better coordination, reducing duplicated activities and improves service consistency through the organization. The first step is to analyze what logic and process the banks acquired have adopted (*start where you are*), and to analyze the current IT environment, so identifying existing strengths and weaknesses.

The primary goal of the IT Department is to implement a "Performance-Based Management" approach. Through this model, organizational performance is continuously monitored via measurable Key Performance Indicators (KPIs), which provide objective information for

decision-making (*progress iteratively with feedback*). Decisions based on measurable data, rather than subjective opinions enable management to identify weaknesses and monitor progress toward strategic objectives; thus to evaluate the effectiveness of implemented improvements and continuously enhance service quality.

To achieve these strategic objectives, the Bank has identified three Critical Success Factors (CSFs), representing the key areas that require enforcement and attention.

- **Customer Partnership** represents the first Critical Success Factor. As the Bank expands its international presence and strengthens collaborations with external financial institutions and independent financial advisors, establishing strong relationships with customers and business partners becomes essential (*collaborate and promote visibility*). The IT Department therefore works closely with business units to actively involve stakeholders throughout the service lifecycle. Through continuous communication, customer feedback and satisfaction surveys, IT can better understand business needs and deliver services that enrich value for customers while supporting the Bank's strategic business. As indicated by the corporation and business strategy by the bank:
  - In the bank's HQ country, to have as a customer base 10% of the retail banking market (currently 7 %)
  - To increase income from internet banking by 70
  - To increase the income from customers living outside the HQ country by 50%
  - To achieve a 5% increase in corporate profit.
- The second Critical Success Factor is **Process Factory**. The Bank aims to standardize IT processes, technologies, and operational procedures across all acquired organizations and various departments. Standardization reduces complexity, minimizes waste, simplifies maintenance activities and improves service consistency. Furthermore, standardized processes facilitate the integration of different IT environments and create a clearer workflow of the process, enabling a more efficient management of services on an international scale (*keep it simple and practical*). This objective is particularly important and fragile, since the Bank while maintaining high levels of service quality in multiple countries must ensure different regulations compliance of various nature: Political, Economical, Social, Technological, Environmental and Legal (PESTLE).
- The third Critical Success Factor is **Continuous Improvement**. The Bank recognizes that delivering high-quality IT services requires continuous measurement, evaluation and optimization. By collecting and analyzing performance data generated through KPIs, the corporation can identify opportunities for improvement and monitor potential risks. The Continuous Service Improvement, reduce operational costs, improve customer satisfaction, optimize resource utilization, and support strategic decision-making based on reliable information. Through incremental improvements, regular feedback, and continuous evaluation of results, the organization can steadily increase the value delivered to customers while optimizing both services and internal resources (*think and work holistically*).

To verify whether these Critical Success Factors are being achieved, the Bank has defined a KPI tree composed of six Key Performance Indicators.

Together, these KPIs provide a balanced overview of service quality, operational efficiency, customer satisfaction and financial performance. By continuously monitoring these indicators, and where possible, automating the collection and analysis of performances (*optimize and automate*), the IT Department can ensure that its activities be aligned with overall business strategy. Furthermore, KPI monitoring supports Service Level Management, enabling the organization to identify areas that require corrective actions and ensure that the service

provided accomplish the customer expectations. Moreover, all these procedures ensure the continuous progress toward its strategic objectives. (*keep momentum going*).



## Chapter 3

# Critical Success Factors

### 3.1 Customer Partnership

Customer Partnership represents an important and strategic pillar to accomplish the Bank's goals. The IT Department must establish measurable relationships between external customers and other stakeholders, assuming a role that actively contributes to the improvement of the services provided and, in specific, monitors through KPIs the value perceived by customers. The IT has to collaborate also internally within the organization in order to engage the appropriate department whenever it is needed.

This topic is fundamental for the success of the Bank's vision, because the international expansion through acquisitions and other partnerships introduces new business requirements due to different customer expectations, cultural diversity, and increased service complexity. These challenges must be supported in a proactive way, by ensuring that IT services remain aligned with business objectives, deliver consistent value across different countries, and contribute to the Bank's growth, while complying with agreed Service Level Agreements between customers, stakeholders and user expectations.

These requisites, makes performance measurement crucial. By continuously monitoring and collecting customer-oriented metrics and analyzing services scores, IT Department is able to implement a continual service improvements that can strengthen customer trust and enrich the service quality. Gaining long-term partnership. This customer-centric approach supports organization's objectives of delivering high-performance, high-quality and cost-effective IT services. Aimed toward to accomplish the predefined goals ??

#### 3.1.1 Time To Market

Time to market, also known as Speed to Market is made operational through **Average Lead Time for Change to Production** KPI metric, defines as the elapsed time between formal approval of a business requirement and its deployment into the production environment. This metric is selected because it directly reflects the organization's ability to translate customer and business demands into operational banking capabilities which is essential for achieving the stated rapid digital service evolution and revenue growth objectives of the organisation. In the context of the strategic goal of the organisation is to increase the income from internet banking, reduced Time to Market provides higher organizational agility and faster delivery of customer targeting features, thus improving market responsiveness and competitive positioning.

There are several ITIL aligned ITSM processes that primarily effects Time to Market. **Change enablement** has a direct effect through approval workflows and Risk Management procedures, were excessive governance overhead can result in significant delays.

**Release and Deployment Management** also effects the indicator as deployment schedul-

ing , release batching and automation maturity determine how quickly the validated changes end up deployed in the production.

**Service Validation and Testing** influences Lead Time through test cycle duration and error handling loops, which can create bottlenecks if automation coverage is insufficient.

**Service Design and Transition** activities also effect indirectly through the time required for requirement analysis, architectural validation, and coordination of technical dependencies. Overall, inefficiencies or lack of cooperation across these processes will result in the increase of Lead Time, where higher process integration, standardization and automation would reduce it, resulting with the improvement of Time To Market KPI.

### 3.1.2 Performance To Contract

Performance to Contract focuses on the IT Department's ability to respect contractual obligations and consistently deliver services according to the agreements made with customers and explained in natural language in the SLAs.

This subject requires IT services to meet the agreed levels of different measurable values, such as availability, reliability, responsiveness, and quality, while ensuring and supporting the Bank's operational and predefined business objectives.

Well-defined Key Performance Indicators ensure evidence of whether service targets are being achieved and enable the IT department to identify eventual deviations or deficiencies. This gives a clear input to potential corrective actions or improvements to service performance over time. Moreover, the monitoring of performance against contractual commitments also increases transparency and accountability between IT and different business units or external third-party service providers.

This process is fundamental and very important for the Bank, because many banking services, such as Online Banking, ATMs, global payments, or other third-party services, depend strictly on service levels and regulatory compliance. Also, through a cybersecurity point of view, the respect of performance is fundamental to prevent various cyber-attacks and potential disservices.

In addition, being a global Bank, the services must be ensured not only during the local time of the main Headquarters, but the support must be available respecting different cultural scenarios, thus supporting suppliers or international partners.

As a result of continuously measuring contractual performance and acting on the collected data, IT Department can improve service reliability, reduce the risk of SLA breaches and improve the overall customer relationships and partnerships with various stakeholders.

## 3.2 Process Factory

The Process Factory CSF approach is required in order to transform the IT department into a Shared Service Center, where IT Services are delivered through standardized, repeatable, and performance-oriented processes. This CSF is important considering the bank's international expansion strategy, the integration of acquired overseas banks and the consolidation of support functions within the Shared Services Division.

The Process Factory approach aims to standardize IT Service Management (ITSM) processes in order to deliver services with greater efficiency, higher quality, and lower operational costs. Within this approach, one of the primary objectives is the systematic identification and elimination of waste, defined as any activity that consumes resources without creating value for customers or supporting business objectives. Moreover the standardization of process helps the creation of waste and redundant steps or activities....to be continued/reviewed

### 3.2.1 Standardization

### 3.2.2 Waste

With the term **waste** IT Service Management intend every activity that consumes time, effort or financial resources without increasing the value delivered to the customer. From Lean methodology and ITIL perspective, customers only perceive value when an IT service is available, reliable, secure and supports the desired utility functions. Any process that do not contribute to outcomes is considered waste and should be minimized or eliminated (*as the guiding principles suggests: “Keep it simple and practical”*).

Waste includes more than obvious failures, such as services outages but also hidden inefficiencies embedded in recurrent operations. These may include redundant processes steps, unnecessary approvals, excessive manual work, repeated incident resolution, but even the collections of data that is never used to improve services.

Such activities increase operational costs, reducing productivity and delaying service delivery, impact negatively the customer satisfaction.

Lean thinking identifies different categories of waste that can be directly applied to IT Service Management, such as:

- **Waiting:** delays caused by approvals, unavailable personnel staff, or dependencies between teams. *Waiting increases lead time without adding value*
- **Defects:** errors that require correction like failed software release, configuration mistakes, security vulnerabilities or inaccurate service records.
- **Overprocessing:** performing more work than necessary, including excessive documentation not required or needed by stakeholders. Even unnecessary or redundant approvals, too many resources into simple activities (often wrongly added near the deadline of a delivery)
- **Unused talents:** failing to involve employees with valuable expertise in process improvement, service design or decision-making. *opposing to the “Collaborate and promote visibility” guiding principle*
- **Inventory:** backlogs of unresolved incidents, accumulated change requests, unused hardware, outdated or not analyzed information retrieved.

These concepts can be applied through concrete example to the Bank’s use case scenario. For an instance, without a structured **knowledge management** that hold documentations and reusable knowledge, service desk analysts and technical staff repeatedly solve same problems independently. This duplication of effort represent both overprocessing and inventory waste; increasing incident resolution times and reducing overall efficiency.

Another source of waste is the poor involvement of internal customers during the Service Transition

## 3.3 Continuous Improvement

### 3.3.1 Service Costs

### 3.3.2 Backlog





## Chapter 4

# Measurement Procedures

### 4.1 Time to Market

### 4.2 Performance to Contract

Explained in subsection 3.1.2.

### 4.3 Standardization

### 4.4 Waste

### 4.5 Service Costs

### 4.6 Backlog



## Chapter 5

# Conclusions

whats the impact of our work for the company







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